

From time to time, however, the Company has client companies that are involved in areas in which the Company's management has less expertise, such as Greenwich Pharmaceuticals. In such cases the Company may retain outside consultants.

With regard to the Company's income statement results for the fiscal year ended March 31, 1985, because of the way in which the Company recognizes revenue for its consulting services, certain revenue attributable to consulting services performed in fiscal 1985 was not recognized until fiscal 1986. Other than this factor, management believes there were no significant trends in the Company's income for fiscal 1984 or fiscal 1985.

4. Item 3, "Legal Proceedings," is amended to add an initial paragraph as follows:

The Company had been involved in litigation with Mobile Amusement Engineering, Inc., dba Elcon Industries, Inc. The parties to this action agreed to a settlement. During the fiscal year ended March 31, 1984, as the Company was involved in settlement negotiations, management recorded an estimated liability of \$250,000 to provide for settlement; management believed that amount was appropriate at the time. The matter was settled in the fiscal year ended March 31, 1985. Litigation charges to operation for the fiscal year ended March 31, 1985 amounted to \$49,120, which included charges for settlement in excess of the \$250,000 provided for in the prior fiscal year.

5. The Notes to Financial Statement are amended to add footnote 9, "Litigation Expenses," as follows:

In August 1982, the Company filed a Complaint for Rescission, Restitution and Damages in the U. S. District Court of the Central District of California naming the owner of Elcon as defendant. In November 1982 the owner of Elcon, together with Mobile Amusement Engineering, Inc. dba Elcon Industries, Inc. filed an Answer to Complaint and Counterclaim and Demand for jury trial, naming the Company and an officer/director as defendants.

On September 20, 1982 Mobile Amusement Engineering, Inc. dba Elcon Industries, Inc. ("Elcon") and its owner filed an action against the company in the U. S. District Court of the Eastern District of Michigan for breach of contract and declaratory release. Plaintiff sought specific performance of the acquisition agreement. This action was stayed by order of the U.S. District Court on November 9, 1982.

The parties to the above action agreed in principle to a settlement which was in the process of being finalized during the fiscal year ended March 31, 1984. Management at that time recorded an estimated liability in the amount of \$250,000 to provide for the proposed settlement in the actions discussed above. The liability was recorded as a charge to operations for the year ended March 31, 1984. At that time it was the opinion of management that the liability, if any, in excess of the \$250,000 provided would not materially affect the operations or the financial position of the Company.

Litigation charges to operation for the fiscal year ended March 31, 1985 amounted to \$49,120. Included in this amount were charges incurred in excess of the \$250,000 provided and charged to operations in the previous fiscal year.

6. Note 6 of the Notes to Financial Statements is amended by amending a portion of the second paragraph of that note to read "September 30, 1985," not "September 30, 1986."

10 percent (10%) interest, which is higher than what can be obtained at a bank. The Alphacom note was a convertible note paying above-normal interest rates. The Company believed the note would increase in value because of its convertible feature. It is not the intention of the company to make unsecured loans in the future.

Several transactions were completed during the year ended March 31, 1986 which accounts for the increase in consulting fees. A note receivable from Alphacom, Inc. was written off during that year and accounts for the decrease in net interest as well as the increase in provision for doubtful notes receivable. An increase in business as well as adding another employee is reflected in the increase in selling, general and administrative expenses.

The Company incurred costs in the fiscal year ended March 31, 1986, for outside consultants. Management believes that there are certain areas in which the Company's Management are experts, especially electronics, computers and applied physics. From time to time, however, the Company has clients that are involved with companies involved in areas with which we have less expertise, such as Greenwich Pharmaceuticals. In such cases the Company may outside consultants.

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